Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 1 of 16 · Question 3 part e · 9 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **A** 25% B is not the correct answer because this is 150-120 C is not the correct answer because this is 150-100 D is not the correct answer because this is not the increase in the rate of inflation	**(1)**

Question Number	Which **one** of the following is an impact of globalisation? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Closing of traditional industries A is not the correct answer because increased competition reduces prices C is not the correct answer because there should be greater choice D is not the correct answer because there should be reduced cost of communication	**(1)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 1 of 16 · Question 3 part e · 9 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** likely impact on UK tax revenue from rising unemployment rates. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may decrease **(1)**. Unemployed workers will have to rely on benefits **(1)** this means they do not pay income tax resulting in less tax revenue **(1)** • One impact is that indirect tax revenues may decrease **(1)**. With fewer people in employment, spending on goods/services may decrease **(1)** resulting in less tax for the UK Government **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse how business activity can damage the environment in a country such as Chile. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mining for lithium can cause many different types of pollution • These may include visual, noise, air and water pollution from the operation of the mines • Mining requires large amounts of water to process the lithium • This could result in a reduction of water in lakes so there is less water available for humans, wildlife and agriculture • This can cause damage to the local area from using so much water • Mining can result in large holes being dug which creates a visual impact for people in Chile • Roads might have to be built to transport the lithium from the mines to market, creating additional noise and air pollution for the people of Chile	**(6)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 1 of 16 · Question 3 part e · 9 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 1 of 16 · Question 3 part e · 9 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxes can be either direct or indirect • Lowering direct taxes such as income tax results in workers keeping more of their income from paid employment • Workers can then spend more on goods and services increasing consumption in the Spanish economy particularly in sectors such as tourism and commerce • Lowering indirect taxes such as VAT results in the price of goods and services falling which can lead to an increase in demand • These measures result in firms raising output and having to employ more workers to meet the increase in consumption • These new workers in turn have more to spend creating the incentive for firms to hire more workers • Unemployment should therefore be reduced in the Spanish economy **AO4** • However, taxes are the main source of income for the Spanish Government so reducing taxes could result in a fiscal deficit if this policy is unsuccessful • If consumer confidence is low, cutting taxes may not increase consumer spending as people prefer to save instead • There is no guarantee that people will spend the tax cuts on Spanish produced goods and could purchase imported goods resulting in a negative impact on the current account • The tax cuts could be inflationary if demand outstrips supply • It will all depend on the type of unemployment Spain is suffering from. Tax cuts are likely to be ineffective if Spain has structural and seasonal unemployment • There are currently 4 million unemployed so the effectiveness of reducing taxes may depend upon a range of factors within the Spanish economy	**(9)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 1 of 16 · Question 3 part e · 9 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 1 of 16 · Question 3 part e · 9 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, **the rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working. **Answer**	Mark

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 2 of 16 · Question 3 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** **A** an invisible import	**(1)**

Question Number	Answer	Mark
3(b)	**AO1 1 mark** **D** Value added tax	**(1)**

Question Number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a way Award 1 mark for developing the way Award 1 mark for the response being in context • Through progressive taxation **(1)**, higher income earners pay a larger proportion of their income in tax **(1)**. The government can redistribute this to lower income earners in the country reducing inequality and poverty **(1)** • Through government investment in education **(1)**, human capital can be improved **(1).** This may result in a person being able to get a job in the future reducing inequality and poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 2 of 16 · Question 3 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The level of consumer confidence will be an important factor that determines the willingness of consumers to spend, borrow and save • Inflation reduces purchasing power for consumers • High rates of inflation such as 25% in Argentina will result in consumers experiencing a fall in living standards as they cannot afford to purchase the same amount of goods and services • High rates of inflation make it difficult for consumers to know what they can afford or how much they need for purchases such as cars • High rates of inflation may discourage consumers from saving as they expect the value to decrease • Consumers are more likely to demand higher wages to keep up with inflation	**(6)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 2 of 16 · Question 3 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 2 of 16 · Question 3 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age who are both willing and able to work cannot find a job • High levels of unemployment such as 27.7% will result in lower GDP as a large part of the workforce will be unproductive • There will be a much greater burden on the government to provide benefits to the unemployed • At the same time tax revenues will be lower meaning less is available to spend elsewhere • The government may have to provide more education and training schemes, especially for young people as 60.3% of young people have never had a job • There may be an increase in poverty within the country as unemployed workers have no income apart from benefits from the South African government **AO4** • However, high rates of unemployment may help some firms compete • Some firms within South Africa may find it easier to recruit from a larger pool of workers due to the 27.7% unemployment rate • Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands • The overall impact will depend upon the type of unemployment, the duration and the state of the economy in South Africa	**(9)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 2 of 16 · Question 3 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 2 of 16 · Question 3 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark

1(a)	**AO1 1 marks** **D** globalisation	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **C** People changing jobs	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to cost of borrowing and 1 mark for reference to reward for lending. The cost of borrowing **(1)** and the reward for lending/saving **(1)** **OR** The cost of borrowing/the reward for lending/saving money **(1)** An interest rate is normally expressed as a % of the total borrowed/lent/saved **(1)**	**(2)**

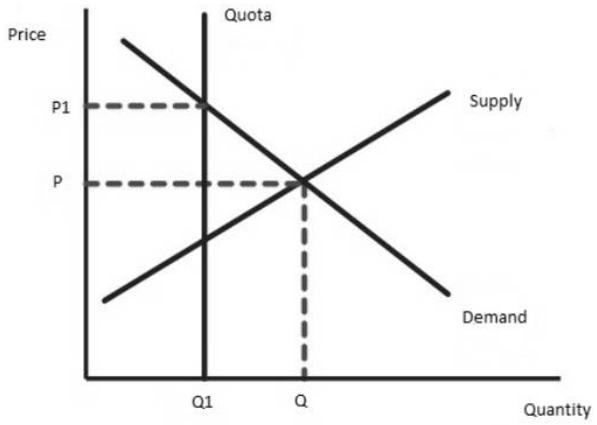
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for development of the impact. The cost of borrowing has become cheaper **(1)** therefore more consumers take out loans to buy products **(1)**	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 3 of 16 · Question 1 part h · 6 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. Award 1 mark for the correct answer. 1000/137.73 **(1)** = £7.26 **(1)** Award 2 marks if the correct answer is shown, with sterling symbol, even if no calculations are shown. Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for perfectly inelastic supply curve, labelled. Award 1 mark for higher equilibrium price, labelled. Award 1 mark for lower equilibrium quantity, labelled.  	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 3 of 16 · Question 1 part h · 6 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant way. Award 1 mark for developing the way. Award 1 mark for the response being in context. • One way is by the WTO hosting discussions/trade negotiations **(1)** in which countries such as the US and Canada agree to reductions in tariffs/quotas **(1)** which should result in greater free trade between countries **(1)** • One way is by the WTO having a set of rules **(1)** These aim to ensure that countries do not introduce tariffs/quotas such as the 300% tariff on aircraft **(1)** which would restrict free trade between countries **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 3 of 16 · Question 1 part h · 6 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part h in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fiscal policy (expansionary) is when the government increases government expenditure and/or reduces taxation • Increased government expenditure could be in the form of new infrastructure projects such as transport links or employing more public sector workers such as teachers • This should increase overall demand within the Australian economy • This results in firms raising output and having to employ more workers • Incomes will also rise resulting in further output and employment growth within the Australian economy • Unemployment should therefore be reduced in the Australian economy	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 3 of 16 · Question 1 part h · 6 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 4 of 16 · Question 2 part b · 1 mark

2019 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** **C** 4%	**(1)**

Question Number	Answer	Mark
2(b)	**AO2 1 mark** **A** Direct taxation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct way. • Visual pollution • Noise pollution • Air pollution • Water pollution Accept any other appropriate responses.	**(1)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 4 of 16 · Question 2 part b · 1 mark

2019 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to increasing productive capacity and 1 mark for reference to aggregate supply. Policies designed to increase the productive capacity of the economy **(1)** by influencing aggregate supply **(1)** OR Government measures **(1)** designed to increase aggregate supply in the economy **(1)**	**(2)**

Question Number	**Answer**	**Mark**
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage of having a depreciating currency. Award 1 mark for developing the advantage. Award 1 mark for the response being in context. • An improvement on the current account **(1)** A weaker value of the peso leads to rising export sales **(1)** resulting in a larger trade surplus for the economy of the Philippines **(1)** • Economic growth for the economy of the Philippines **(1)** The price of exports should fall because of the weaker peso **(1)** This may result in an increase in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 4 of 16 · Question 2 part b · 1 mark

2019 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason. Award 1 mark for developing the possible reason. Award 1 mark for the response being in context. • To access customers in different regions **(1)** Demand may have become saturated in the domestic market of the MNC **(1)** A growing economy such as India provides a much bigger market in which to sell their goods/services **(1)** • Cheaper resources such as labour **(1)** Countries such as India have cheaper skilled labour compared to the domestic market of the MNC **(1)** This allows the MNC to produce products at a much lower cost **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 4 of 16 · Question 2 part b · 1 mark

2019 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries such as Thailand because they have access to a wider market in ASEAN countries, such as Vietnam, in which to sell their goods and services • Firms in countries such as Thailand may be able to exploit economies of scale or specialisation can occur • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the ASEAN trade block may attract increased FDI • Membership of the trade bloc has contributed to an increase in GDP per capita from $122 to $4 021 **AO4** • Thailand may face increased competition as imports from other member countries increase • This may have a damaging effect on Thailand's domestic firms • Countries such as Thailand may rely too heavily on trade within the bloc rather than trading with non-member countries such as India • The overall benefits will depend on the ability of a country to compete within the region and the level of trade with non-member countries	**(9)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 4 of 16 · Question 2 part b · 1 mark

2019 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 4 of 16 · Question 2 part b · 1 mark

2019 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark

1(a)	**AO1 1 marks** **B** Inflation rate	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** privatisation	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to economic cycle and 1 mark for reference to high levels of economic activity/employment A phase in the economic cycle **(1)** with the highest levels of economic activity/with the highest levels of employment **(1)**. Accept any other appropriate response.	**(2)**

Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to time and effort and 1 mark for reference to purchasing goods The costs to firms and consumers of searching for the lowest prices **(1)** when inflation is high/prices are rising rapidly **(1)**. Accept any other appropriate response.	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 5 of 16 · Question 1 part h · 6 marks

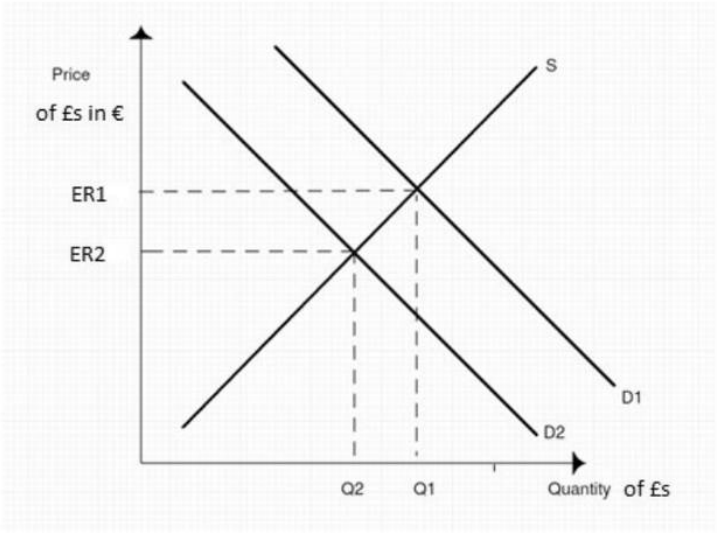
2020 JAN · Paper 02 (regional R) · extract 2 of 6 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. 150 000 x 70.66 INR **(1)** Award 1 mark for the correct answer. = 10 599 000 INR **(1)** Award 2 marks if the correct answer of 10 599 000 INR is shown, with Indian Rupee symbol, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no Indian Rupee symbol, even if no calculations are shown. Do not award marks for the formula.	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 5 of 16 · Question 1 part h · 6 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 6 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 5 of 16 · Question 1 part h · 6 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 6 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to gain market share **(1).** Barley producers in China might be forced out of production **(1)** resulting in a higher market share for Australian barley producers **(1).** • One reason is to get rid of surplus goods **(1).** Australia may have produced too much barley in one year **(1).** Reducing the price may result in higher demand for Australian barley in China **(1).** Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 5 of 16 · Question 1 part h · 6 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 6 · find part h in this mark scheme extract

Question Number	Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Direct taxes are government charges imposed on income and wealth • Lowering direct taxes such as income tax rates will result in employees keeping more take home pay • This increases disposable income from employment and gives an incentive to work rather than live on benefits • Increased income could be spent on more/better quality goods and services, thereby increasing standard of living in Vietnam • With greater disposable income being spent within the Vietnamese economy, output and employment may increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 5 of 16 · Question 1 part h · 6 marks

2020 JAN · Paper 02 (regional R) · extract 6 of 6 · find part h in this mark scheme extract

Question Number	**Answer**	Mark

3(a)	**AO1 1 mark** **D** Higher taxation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **C** depreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is a fall in demand for Egyptian exports **(1).** Inflation of 17.7% makes domestic goods more expensive **(1)** so other countries may not buy Egyptian goods resulting in a deficit on the current account **(1)**. • One impact is an increase in imported goods **(1).** Inflation of 17.7% makes imports appear cheaper than Egyptian goods and services **(1)** so consumers prefer to purchase imports therefore having a negative impact on the current account **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 6 of 16 · Question 3 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Currency speculators have an impact on the exchange rate of a country due to supply and demand factors • Speculators will buy more currency if they believe that the exchange rate of the US$ will rise in the future. • The increase in demand for the currency causes the value of the exchange rate to rise compared to other currencies. • Conversely, the value of the exchange rate may fall if speculators sell a currency if they believe that the exchange rate will fall. • This causes a fall in the value of the currency due to an increase in the supply available. • The impact of speculators is often that their actions bring about what they predict will happen.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 6 of 16 · Question 3 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The use of regulation could be an effective way to reduce usage especially as the fine of AUS$5 000 is very high • This could stop retailers issuing plastic bags to customers thereby reducing the chance of plastic bags ending up in litter • Most consumers and retailers will want to follow the regulations and will therefore not use plastic bags • This is supported by the Environment Minister who states that this is a popular policy with many people **AO4** • However, banning plastic bags by regulation and issuing fines does not mean its consumption will completely reduce demand • The plastic bags have been banned since 2018 but no fines have been given out for using the plastic bags • The effectiveness will also depend upon shoppers reporting retailers for giving out plastic bags • There needs to effective policing of the ban for it to work properly

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 6 of 16 · Question 3 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 6 of 16 · Question 3 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 7 of 16 · Question 4 part b · 6 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the fiscal deficit €8 119 601 – €8 197 243 **(1)** = -€77 642m **(1)** Award 2 marks if fiscal deficit is accurately calculated with no workings shown -€77 642m Award 1 mark if € sign is missing i.e. -77 642m Do not award marks for the formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fiscal policy is the use of government spending and taxation to affect macroeconomic objectives • An increase in taxation through either direct or indirect taxation may result in reduced spending for consumers and businesses in Estonian as there is less disposable income available • This reduced spending puts less pressure on prices and therefore can help to control inflationary pressures within the Estonian economy which increased to 4.4% in October • In addition, lower government spending within the Estonian economy may also have a downward effect on prices as government spending contributes to demand • Both measures may result in less demand-pull inflation within the Estonian economy	**(6)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 7 of 16 · Question 4 part b · 6 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 7 of 16 · Question 4 part b · 6 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Subsidies are given by a government to a producer to reduce the costs of production or to a consumer to reduce the price of consumption • The Estonian Government gives subsidies to public transport so that more people are able to use these services rather than cars • The Minister of Economic Affairs said that there has been an increase in 33% of people using the buses • Cheaper public transport has also reduced the number of cars and pollution in Estonia • The amount given to bus services has grown from €34.8m to €43.3m in 2019 which should encourage even more people to switch from cars to public transport reducing the environmental impact **AO4** • However, the Estonian Government will have to fund the public transport subsidies creating an opportunity cost • The money used to subsidise public transport could have been used elsewhere within the Estonian economy • Many people might argue that the Estonian Government should not be increasing the subsidy paid for air travel to €5.53m as this is a major cause of damage to the environment • There are other ways in which the government can protect the environment which may have less opportunity cost to the Estonian Government • Regulation through the use of laws and fines could be used to protect the environment which may have less of a financial burden upon the Estonian Government • Revenue from fines could be used to tackle some of the damaged caused by transport • The overall advantages will depend upon how much public transport contributes to environmental damage	**(12)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 7 of 16 · Question 4 part b · 6 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 7 of 16 · Question 4 part b · 6 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 7 of 16 · Question 4 part b · 6 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Higher exports A is not correct because this is likely to increase inflation C is not correct because this is likely to create employment D is not correct because this is decided by the government	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Relative poverty A is not correct because this is not having the means to survive B is not correct because this describes the range of incomes in an economy D is not correct because this refers to the disincentive effect of benefit payments	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Lower demand for imports • Improved balance of payments • Higher demand for exports • Reduced deficit • Improved surplus Accept any other appropriate responses	**(1)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 8 of 16 · Question 2 part d · 2 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the components of fiscal policy and 1 mark for reference to (aggregate) demand Decisions about government spending, taxation and borrowing **(1)** that affect (aggregate) demand in the economy **(1)** Accept any other appropriate response	**(2)**

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that business confidence is likely to fall **(1)**. High rates of unemployment of 44% may make businesses more cautious **(1)**. This is because there will be fewer people able to purchase goods/services from firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 8 of 16 · Question 2 part d · 2 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	**Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that more goods are able to be transported at the same time **(1)**. This reduces the cost of trading between countries **(1)**. This means increased trade which leads to globalisation **(1)** • One reason is that goods can be cheaply transported long distances **(1)** resulting in more firms being able to source products from low-cost countries **(1)**. This increased trade between countries leads to more globalisation **(1)** Accept any other appropriate response	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 8 of 16 · Question 2 part d · 2 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	**Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The external benefit of providing healthcare to an individual often exceeds the private benefit • Free access to healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in England • This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to reduce poverty and inequality in England • Healthcare also provides many jobs for healthcare workers including nurses, doctors and by building new hospitals **AO4** • However, providing free healthcare cost the tax payer £134bn in 2020 • There is an opportunity cost of spending so much money on healthcare which could be spent on other poverty reduction methods • Having a healthcare system which is free means that there is often an excess demand for healthcare, leading to the NHS being constantly overstretched • This results in shortages of hospital beds and may not reduce poverty and inequality • There are other methods that might be more effective in reducing poverty and inequality, such as education or progressive taxation • There should be a combination of methods used to reduce poverty and inequality in England

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 8 of 16 · Question 2 part d · 2 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 8 of 16 · Question 2 part d · 2 marks

2021 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 9 of 16 · Question 1 part h · 6 marks

2022 JUN · Paper 02 · extract 1 of 6 · find part h in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **D** operates in more than one country A is not correct because shareholders may just be from one country B is not correct because MNCs may not necessarily export goods C is not correct because MNCs are owned by private investors and this would be a nationalised company	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Interest rate B is not correct because this would reduce disposable income meaning less saving C is not correct because this would make imports cheaper and encourage spending D is not correct because this would increase the price of goods meaning less saving	**(1)**

Question Number	What is meant by the term imports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being from another country The purchase of goods or services **(1)** from another country **(1)** Accept any other appropriate response.	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 9 of 16 · Question 1 part h · 6 marks

2022 JUN · Paper 02 · extract 2 of 6 · find part h in this mark scheme extract

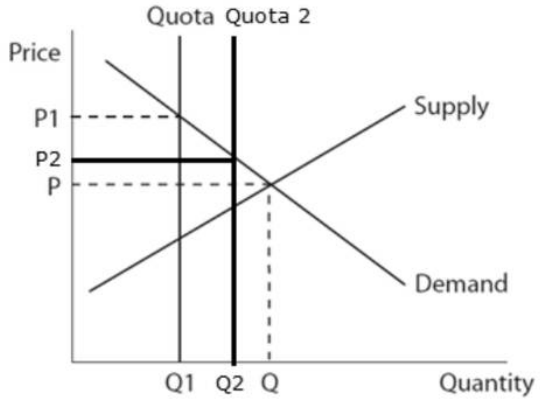
Question Number	Describe one reason why governments make benefits payments. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to reducing poverty and 1 mark for reference to helping to meet basic needs Reduce poverty/inequality in a country **(1)** by making benefit payments to assist with meeting basic needs **(1)** Accept any other appropriate response.	**(2)**

Question Number	Using the data in Figure 1, calculate in £bn, the current account for the UK year ending July 2019. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £646.7bn - £689.9bn **(1)** Award 1 mark for the correct answer = -£43.2bn **(1)** Award 2 marks if the correct answer of -£43.2bn is shown, with pound (£) symbol, even if no calculations are shown Award 1 mark if -43.2bn is shown, but with no £ sign, with or without calculations shown Do not award marks for formula	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 9 of 16 · Question 1 part h · 6 marks

2022 JUN · Paper 02 · extract 3 of 6 · find part h in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  **Figure 2**	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 9 of 16 · Question 1 part h · 6 marks

2022 JUN · Paper 02 · extract 4 of 6 · find part h in this mark scheme extract

Question Number	Explain one possible reason why a country such as Norway has a current account surplus. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is because of high quality domestic goods **(1)**. High quality goods may increase the demand for exports **(1)** resulting in more money flowing into the country than flowing out **(1)** • One reason is because of the lower price of domestic goods **(1).** Lower prices for domestic goods may result in less demand for imported goods **(1)** resulting in less money flowing out of the country **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 9 of 16 · Question 1 part h · 6 marks

2022 JUN · Paper 02 · extract 5 of 6 · find part h in this mark scheme extract

Question Number	Analyse how a reduction in indirect taxation is likely to affect the standard of living in a country such as the UK. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Indirect taxes are government charges imposed on goods and services • Lowering indirect taxes such as VAT will result in consumers paying less for goods and services • This allows consumers and firms to make more purchases as prices are cheaper • Increased spending could be spent on more/better quality goods and services, thereby increasing the standard of living in the UK for consumers • With increased spending within the UK economy, output and employment may increase for firms, further increasing the standard of living	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 9 of 16 · Question 1 part h · 6 marks

2022 JUN · Paper 02 · extract 6 of 6 · find part h in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 10 of 16 · Question 4 part c · 12 marks

2023 JAN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in GDP per capita $\frac{(3\,561 - 3\,043)}{3\,043} \times 100$ **(1)** = 17.02% **(1)** Award 2 marks if the percentage change is accurately calculated, even if no calculations are shown Award 1 mark if correct answer 17.02 is shown but with no % sign, with or without calculations Do not award any marks for the formula	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 10 of 16 · Question 4 part c · 12 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse the possible impact on Egypt of having a continuous current account deficit. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account deficit is when the value of imports exceeds the value of exports • A continuous current account deficit indicates that Egypt is becoming increasingly dependent on imports over time, shown in Figure 4 • A current account deficit results in a leakage from the Egyptian economy and can threaten output and employment levels • This can reduce tax revenues for the Egyptian Government • Egypt might be struggling to sell goods and services and could reflect that domestic firms are not competitive in certain sectors of the economy • A continuous current account deficit could result in a depreciation in the exchange rate • If Egypt continues to have a current account deficit it may see its foreign currency reserves run low and it might be necessary to borrow	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 10 of 16 · Question 4 part c · 12 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the extent to which fiscal policy can be used to control inflation in a country such as Egypt. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Fiscal policy is the use of government spending and taxation to affect macroeconomic objectives • Egypt could see demand-pull inflation due to increased economic growth and a reduction in unemployment rates • An increase in taxation through either direct or indirect taxation may result in reduced spending for consumers and businesses in Egypt as there is less disposable income available • This reduced spending puts less pressure on prices and therefore can help to control inflationary pressures within the Egyptian economy which increased to 6.3% in 2020 • In addition, lower government spending within the Egyptian economy may also have a downward effect on prices as government spending contributes to demand • Both measures may result in less demand-pull inflation within the Egyptian economy **AO4** • However, increasing indirect taxation rates may raise prices and may lead to further inflation • The extent to which it can control inflation will depend upon the type of inflation Egypt is experiencing • If inflation is cost-push due to the depreciation of the exchange rate caused by a continuous current account deficit, fiscal policy may not be effective • Demand is not totally dependent on levels of taxation and government spending and there are other factors that have an impact on inflation • Fiscal policy can therefore conflict with economic growth and employment macroeconomic objectives • There are other ways in which the Egyptian Government could try and control inflation including supply-side policies • These could help to reduce inflationary pressures by helping the Egyptian economy to produce more goods and services at all price levels	**(12)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 10 of 16 · Question 4 part c · 12 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 10 of 16 · Question 4 part c · 12 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

2(a)	**AO1 1 mark** The only correct answer is: **D** Tax rates A is not correct because this is affected by changes in the supply and demand for currencies B is not correct because this is part of monetary policy C is not correct because this is dependent on the output of firms	**(1)**

Question Number	A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year? Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** €5 100 A is not correct because this is the interest only B is not correct because this is calculated by €5 000/2 C is not correct because this is calculated by €5 000 - €100	**(1)**

Question Number	State **one** role of a central bank. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** function. • setting interest rates • controlling inflation • stabilising a nation's currency • lender of last resort • implementing the government's monetary policy • regulating the banking system Accept any other appropriate responses.	**(1)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 11 of 16 · Question 2 part a · 1 mark

2023 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

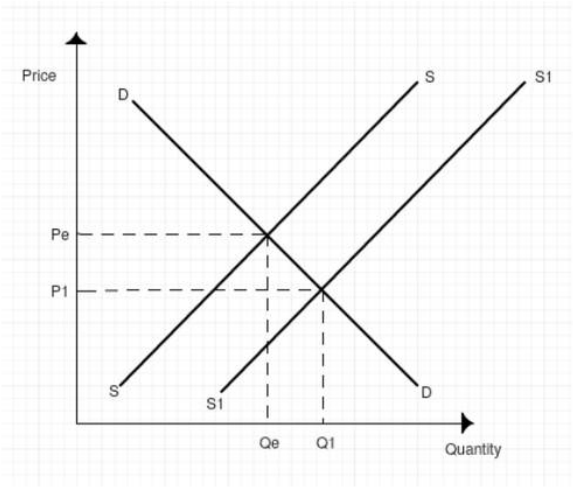
Question Number	What is meant by the term current account surplus? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to value of exports and 1 mark for reference to exceeding value of imports When the value of exports **(1)** exceeds the value of imports **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain **one** impact education and training may have on inequality and poverty. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that it can reduce inequality and poverty **(1).** Training and education can provide new skills for young people **(1)**. Therefore, they are more likely to be able to gain employment/income **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 11 of 16 · Question 2 part a · 1 mark

2023 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 11 of 16 · Question 2 part a · 1 mark

2023 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of infrastructure spending on the productive potential of a country such as the UK. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The productive potential of the UK economy may increase if the quality of its infrastructure is improved • The UK Government is investing in a wide range of projects including urban transport and the provision of broadband to hard-to-reach areas • This may help to increase geographical mobility as well as improve the distribution of goods/services • In the short term, building or upgrading transport can boost (aggregate) demand through increased construction activity and employment • In the long term, infrastructure investment can boost economic growth by attracting investment and increasing the potential supply capacity of an economy **AO4** • However, it can be argued that spending £130bn on its economic infrastructure may not be that effective in increasing the total output in the UK economy • It is unclear how the UK Government will fund this investment and it may have to borrow the additional finance and could result in a fiscal deficit • There is an opportunity cost of these investments with no guarantee that total output will increase in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the planned spending can add to (aggregate) demand and (aggregate) supply	**(9)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 11 of 16 · Question 2 part a · 1 mark

2023 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 11 of 16 · Question 2 part a · 1 mark

2023 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	A decrease in unemployment is likely to result in Answer	Mark

3(a)	**AO1 1 mark** The only correct answer is: **C** Increases the production of goods and services A is not correct because subsidies will increase government spending B is not correct because subsidies support domestic production rather than increasing imports from other countries D is not correct because subsidies are likely to increase trade disputes rather than reduce them	**(1)**

Question Number	The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130. Calculate the new price of the basket of goods and services. **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **B** £1 300 A is not correct because this is £1 200 + 10 C is not correct because this is £1 200 + 130 D is not correct because this is £1 200 + 120 + 130	**(1)**

Question Number	Explain the likely impact on productivity of this change in business taxes for a country such as Italy. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in productivity **(1).** Firms can keep more of the profit earned allowing them to invest in new technology/training **(1).** This will enable the firm to be more efficient/increase output per worker **(1)** Accept any other appropriate response	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 12 of 16 · Question 3 part e · 9 marks

2024 NOV · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Regulations are rules made by a government or other authority in order to control the way something is done or the way people behave • Regulations can help to prevent pollution by setting standards for firms and individuals to follow • For example, the CAA has set standards for environmental quality such as air quality standards in the US • These standards can limit the amount of pollutants that can be released into the environment by cars, trucks and buses therefore protecting the environment • Governments can enforce these regulations to ensure that firms and individuals comply with them • There are negative consequences for firms if they do not follow regulations so many firms do comply with them	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 12 of 16 · Question 3 part e · 9 marks

2024 NOV · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Income tax is levied on personal income • Income tax represents 47% of total revenue and is the largest source of revenue for the Australian Government • This can help to provide a stable and reliable source of revenue for the Australian Government allowing for effective budget planning and public service provision • Income tax revenue plays a critical role in funding essential public services such as healthcare, education, and social welfare programmes ensuring a high standard of living for Australian citizens • Australia's income tax system is progressive, meaning higher-income individuals pay a larger portion of their income in taxes • This helps reduce income inequality and promotes social equity **AO4** • However, income tax revenue can be dependent on how many workers are actively participating in the Australian economy and paying income tax • Income tax revenue could fall in times of recession or when there are high levels of unemployment restricting the amount available to the Australian Government for public services • Higher income tax rates can discourage work, investment, and entrepreneurship, potentially reducing economic growth and job creation • There are many other sources of revenue which are also reliable for the Australian Government • Sales tax contribute 14% towards the revenue received and relies on consumption rather than employment	**(9)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 12 of 16 · Question 3 part e · 9 marks

2024 NOV · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 12 of 16 · Question 3 part e · 9 marks

2024 NOV · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage change in GDP for India between 2021 and 2022. You are advised to show your working. **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **C** increases with higher income levels A is not correct because this describes a flat tax system B is not correct because this describes a regressive tax system D is not correct because this does not happen in a progressive tax system	**(1)**

Question Number	A depreciation in a country's exchange rate is most likely to lead to **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** increase in exports and a decrease in imports B is not correct because a depreciation would result in an increase in exports and a decrease in imports C is not correct because a depreciation would result in an increase in exports and a decrease in imports D is not correct because a depreciation would result in an increase in exports and a decrease in imports	**(1)**

Question Number	State **one** possible trade-off with inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible trade-off • Higher unemployment • Lower economic growth • Worsening current account on the balance of payments Accept any other appropriate response	**(1)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 13 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

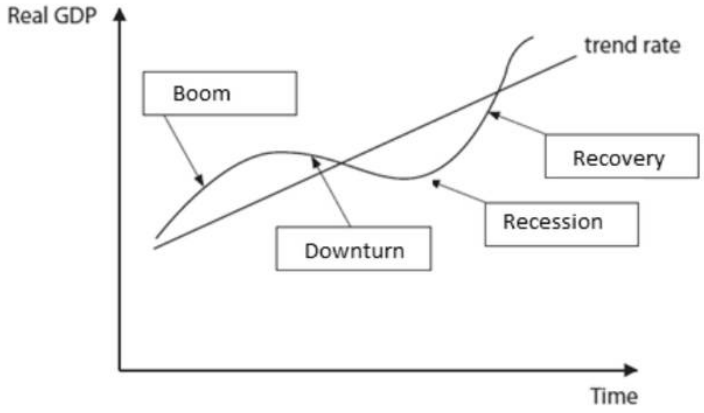
Question Number	What is meant by the term direct tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied/imposed on individuals/firms **(1)** based on the level of income/profits **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** disadvantage of privatising the provision of school meals in North Tyneside. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is that school meals could become more expensive **(1)** this is because private firms aim to make a profit. **(1)** This can make it harder for some families to afford school meals for their children at school **(1)** • One disadvantage is that workers might be paid less. **(1)** Private firms often try to save money in order to make a profit. **(1)** This can negatively impact the quality of service/the well-being of existing employees **(1)** Accept any other appropriate response	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 13 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/slump/depression, labelled  	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 13 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With subsidies making solar-powered stoves affordable, more people might change the way they cook • Shifting from firewood or coal to solar-powered stoves decreases carbon emissions, contributing to cleaner air and combating climate change • Solar-powered stoves produce no harmful smoke, leading to better indoor air quality and reducing respiratory illnesses linked to smoke inhalation from firewood or coal • Promoting solar-powered stoves encourages the use of renewable energy and reduces reliance on fossil fuels • Subsidies can make the transition to solar-powered stoves more economically feasible for families, reducing long-term costs associated with buying fuel **AO4** • However, the subsidies cost money, which could be used for other important things like schools or hospitals • If the subsidies end, the price of solar-powered stoves might increase reducing the number of people wanting to use them • Sometimes the people who need the help the most might not get it, or the subsidies might not support the best or most efficient stoves • Subsidies can interfere with normal market operations, potentially stopping firms from improving their stoves or reducing prices on their own • Some people might prefer their traditional way of cooking and not want to switch to solar-powered stoves, making the subsidies less effective • It can be hard to manage and keep track of the subsidy programme, leading to potential waste	**(9)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 13 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 13 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is a feature of being a member of a trading bloc? **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **C** Monetary A is not correct because this involves government revenue and government expenditure B is not correct because this involves increasing the productive capacity and output of an economy D is not correct because this involves the supply of and demand for currencies	**(1)**

Question Number	Which **one** of the following is an example of deregulation? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Allowing more foreign firms into the domestic market A is not correct because it involves imposing a new regulation on how much government officials can be paid C is not correct because compulsory employee training adds a new layer of requirements for firms D is not correct because this increases the amount of regulation to protect consumers	**(1)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 14 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	State **one** possible advantage of foreign direct investment (FDI) for an economy. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Creating jobs • Investing in infrastructure • Developing skills • Developing capital • Contributing to taxes • Greater choice • Rising living standards • Lower prices Accept any other appropriate response	**(1)**

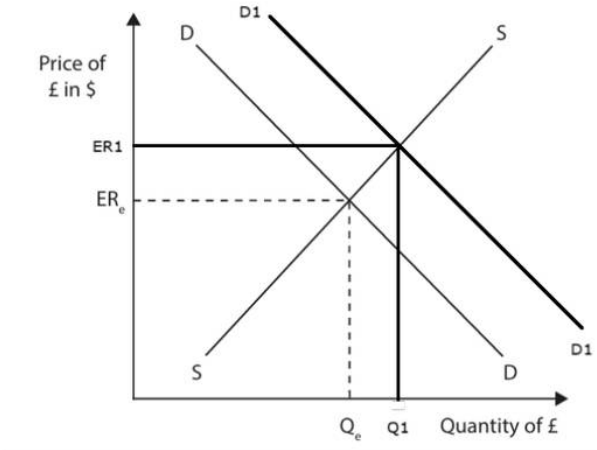
Question Number	What is meant by the term indirect tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied **(1)** on spending **(1)** **OR** A tax added to the price of goods and services **(1)** which consumers pay when they buy something **(1)** Accept any other appropriate response	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 14 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** way government provision of healthcare can help to reduce poverty. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is that healthcare helps people to stay healthy **(1)** so they can work more and earn an income **(1).** With more income, they can improve their living conditions and escape poverty **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand curve, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 14 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The removal of a 5% import tariff on Korean cars makes them cheaper and more competitive against other foreign brands in the Philippines, potentially increasing market share • With tariffs gone, it is likely that more Korean cars will be exported to the Philippines, benefiting manufacturers through increased sales and revenue • Accessing the large and growing Philippine market, which has the 12th largest population and is a significant car importer, offers a substantial expansion opportunity for Korean car makers • Increased car exports to the Philippines can contribute to economic growth and job creation in South Korea's car industry **AO4** • However, with Japanese cars dominating 82.5% of the Philippine market, Korean cars might still struggle to significantly penetrate or compete, even without tariffs • The removal of tariffs may lead to increased competition from domestic car manufacturers in the Philippines, making it harder for Korean cars to gain market share • Filipino consumers might prefer other brands or have a strong brand loyalty to existing cars, making it difficult for Korean cars to penetrate the market • Philippine car manufacturers might retaliate against the influx of cheaper Korean cars • Exchange rate fluctuations could affect the profitability and pricing of Korean cars in the Philippines	**(9)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 14 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 14 of 16 · Question 2 part d · 2 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is an advantage of pollution permits? **Answer**	Mark

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 15 of 16 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the total value of UK exports in euros £45bn x €1.15 **(1)** = €51.75bn **(1)** Award 2 marks if the total value of exports is accurately calculated as €51.75bn even if no calculations are shown Award 1 mark if € or bn is missing i.e. 51.75 with or without calculations shown No marks for formula	**(2)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 15 of 16 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why an improvement in the quality of UK goods may result in a positive impact on the UK's current account. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • UK firms exporting to France must prioritise delivering high-quality goods to stand out in a very competitive market where consumers have many luxury options • An improvement in the quality of UK goods enhances their competitiveness in the French market • This could result in increased exports as French consumers opt for superior UK products over others • Increased exports of higher-quality UK goods to France can contribute to a positive impact on the UK's current account by boosting export revenues and potentially narrowing the trade deficit • Improvements in quality can lead to higher prices for UK goods in France, increasing the value of exports and further positively impacting the UK's trade balance and current account position

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 15 of 16 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 15 of 16 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible economic benefits of increasing government expenditure on healthcare for a country such as the UK. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Increased healthcare spending injects money directly into the economy creating demand for medical services, pharmaceuticals and healthcare-related goods. This boost in demand can lead to increased economic activity • This increase in job creation not only tackles the challenge of understaffing in hospitals but also contributes to lowering unemployment rates across the economy • Allocating more resources to the UK's struggling healthcare system may result in lower waiting times • This allows people to engage more actively in the workforce/get back to work more quickly • Healthy people are better equipped to learn, work and contribute to economic growth • By ensuring timely medical treatment and reducing absenteeism due to illness, an increase in healthcare spending can lead to increased productivity, benefiting the economy as a whole **AO4** • Increased expenditure on healthcare may lead to fiscal deficits if not matched with sufficient revenue or could divert funds from other essential sectors like education • To fund the increased healthcare expenditure the government might need to borrow or increase direct and indirect taxes as health services in the UK are funded out of taxation • Higher taxes can reduce the amount of money people have to spend on goods and services, leading to lower consumer spending and slow down economic growth • It can create an overreliance on the UK Government for healthcare discouraging investment in private healthcare alternatives and reduce individual responsibility for personal health decisions • The overall long term economic benefits will depend on how effective the additional expenditure is used within the healthcare system

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 15 of 16 · Question 4 part c · 12 marks

2025 NOV · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

2(a)	**AO2 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** **D** Indirect taxes	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct method. • taxation • subsidy • regulation • fines • pollution permits • government provision of parks Accept any other appropriate responses.	**(1)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 16 of 16 · Question 2 part b · 1 mark

2020 JAN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to standard of living and 1 mark for reference to typical standards in society The standard of living is below **(1)** the typical living standards in that society **(1)**. **OR** In the EU it is 60% **(1)** of the median income **(1)** Accept any other appropriate responses.	**(2)**

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage using a fine Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that this can raise a large amount of revenue **(1)**. The parking fines have raised £10.4m which could be used to improve public services **(1)** This can lead to increased economic growth in the Manchester area **(1)**. • One advantage is that it stops motorists parking illegally **(1)**. Having to pay a fine of £30 reduces the income of motorists **(1)**. This means that there might be an increase in the number of people using public transport rather than cars **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 16 of 16 · Question 2 part b · 1 mark

2020 JAN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the possible reason Award 1 mark for the response being in context • One reason is that not all income from earnings is declared/the hidden economy **(1)**. Some people under declare their earning from jobs such as taxi driving **(1)**. This reduces the amount of Greece's GDP which is accurately recorded **(1)**. • One reason is some countries record GDP differently **(1)**. Some activities such as subsistence farming in Greece may not be included in GDP figures **(1)**. Therefore, Greece's GDP figures may not be an accurate record of the total economic activity in an economy **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 16 of 16 · Question 2 part b · 1 mark

2020 JAN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Seasonal workers are employed at particular times of the year when demand for labour is higher than usual • Seasonal employment is often associated with industries such as agriculture, tourism and construction • The New Zealand Government could use supply-side policies to try and encourage the recruitment of more seasonal workers into the kiwifruit industry • This can be done by offering financial incentives to firms for training and hiring the long term unemployed in the area to work on the kiwifruit farms • The New Zealand Government could ensure that there are lower income tax rates to encourage working rather than relying on welfare benefits • The New Zealand Government may offer financial incentives for the kiwifruit growers to invest in more capital intensive farming methods which remove the need for labour **AO4** • However, supply-side policies can take a very long time to be effective • Training and the hiring of new workers may take a long time and the industry needs 1,200 workers immediately to pick the remaining 70% of the crop • Many workers may prefer to remain unemployed due to the seasonal nature of the industry, preferring more stable employment • There is a financial cost to the government of offering any incentives to the kiwifruit industry which could be spent on other areas of the economy • It could be argued that the shortage of workers should be resolved by the kiwifruit industry rather than the government and the shortage could be due to poor wages or working conditions

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 16 of 16 · Question 2 part b · 1 mark

2020 JAN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal policy: taxes, spending and macroeconomic objectives

Answer 16 of 16 · Question 2 part b · 1 mark

2020 JAN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	**Answer**	Mark